

Growth

“The EMS SECTOR In India Is Currently UNSTRUCTURED, Leading To Inconsistent Pricing And Delivery”

During a conversation with EFY's Nitisha, Jatin Chudasama from Allnyx Technology, discussed India's electronics industry's progress toward an end-to-end ecosystem. He highlighted the need for government-corporate collaboration, addressing issues in the EMS sector's structure and pricing, the shortage of skilled resources, and supply chain management difficulties.



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How is India's electronics industry progressing towards an end-to-end ecosystem?

The Indian electronics industry is booming with segments like electronic components, semiconductors, PCB manufacturing, electronics manufacturing services, and OSAT companies for assembly and testing. Aligning these verticals is challenging, but the ecosystem is gradually building up. India is progressing despite initial teething problems compared to established models in China. The government and corporate companies work together, with dedicated teams and ministries addressing concerns and supporting growth. Semiconductor plants are being set up, and in a few years, India is expected to have a robust end-to-end ecosystem, benefiting significantly from these efforts.

What challenges does the Indian EMS sector face, and how can they

be overcome?

The EMS sector in India is currently unstructured, leading to inconsistent pricing and delivery influenced by geographical location. For instance, EMS companies in Bengaluru may charge differently compared to those in Gujarat or Delhi for the same services. Supply chain challenges plague low-volume EMS companies, facing issues with pricing and delivery, while customers wield more negotiation power due to the competitive market. The government's PLI scheme affects the business volume for EMS providers, as OEMs and product manufacturers set up their own SMT lines, reducing their reliance on EMS companies. This shift decreases the available business for EMS providers, akin to cooking at home instead of dining out. The sector also struggles with a shortage of skilled resources. EMS companies now hire from diploma programmes and

ITIs, but the competition for skilled workers remains fierce, driving up salaries and costs. Fluctuating raw material prices further complicate the market. To address these issues, EMS companies need to standardise pricing models similar to fixed rates in medical pathology. Forming associations to represent their challenges to the government and collaborating with electronic institutes can help create a more structured and competitive EMS sector in India.

Could you provide more information on supply chain management and its challenges?

Supply chain and pricing are crucial for a company's profit growth. Effective supply chain management requires adequate capital for vendor development and procurement, knowing where, how, and when to buy. While cost is a factor, the critical aspects are timing, sourcing, and quality. Pricing can be